



A: I never understood those who mocked it as “Gabbar Singh Tax”. The party that once taxed income at 91% under former PM Indira Gandhi today lectures on GST? Time and again inside the GST Council we had to remind everyone: let us give the people a good message; approve reductions. I won’t name states.

AUDIENCE Q: Despite the historic reform, two expectations remain: bringing petrol and diesel under GST and restoring input tax credit for real estate/builders. What is the road map on these?

A: Petrol and diesel are not under consideration in this proposal placed before the GST Council. It is entirely with the states.

Even at the time of the GST’s introduction, we made a legal provision that whenever states find it appropriate and determine rates, without constitutional change we can implement GST on petrol/diesel. But the Council has to take that call; our proposal does not include it.

AUDIENCE Q: India has come from four GST slabs to two. Is the government trying to go to one slab—one nation, one GST?

A: Not now; maybe much later—I won’t fix a time. Why multiple rates? India’s development level is not uniform; some areas are more developed, others less. People in different areas cannot treat the same object similarly. In other words, a developed area can afford

a slightly higher tax. As (former Finance Minister) Arun Jaitley explained: can a Mercedes Benz and *hawai chappal* (rubber slippers) be treated the same and taxed at one rate? No. The *chappal* buyer cannot pay a higher rate; the person who purchases a Benz can. Having one rate for both in today’s India would be unjust. It could be possible in the future, when development is widespread.

SINGH: On insurance—the decision is good, but people fear: will companies pass the benefit to customers?

A: That is a genuine question. All public sector insurers came forward and said they will pass on the benefits to customers. We are also talking to the private sector—the market is open; there is no special privilege to public sector or unique burden on the private sector. If under open competition the public sector is doing it, the private sector should too—because tax relief is meant for the public, not the company. It should not stay in the premium. If companies act against this intent, we will talk to them and correct it.

AUDIENCE Q: How will the government manage the expected revenue shortfall from lower GST—estimated about ₹40,000 crore?

A: We put that number before the Council—roughly ₹40,000 crore. But we believe that rate reductions on daily-use items will bring in more buoyancy. Data is never static; we use FY24 data to model buoyancy. On the ground it’s dynamic. When rates go down and people come out to buy, the dynamism can raise revenue beyond model estimates. Since this is across the board—daily-use items, aspirational, middle-class, agricultural, MSME, automobile—I believe buoyancy will return quickly, even exceed the earlier level, helping us overcome any revenue hit.

BT: Do you expect classification disputes to end now?

A: For those unfamiliar with classification issues—six to eight months ago there was a press conference about an incident. For popcorn: salty popcorn had one rate; popcorn with chocolate/sugar had another. In Uttar Pradesh there was trouble—people selling chocolate/sugar-coated popcorn were taxed less by misclassifying as salty popcorn; issues went to court and stayed for years.

The UP government asked the Council for clarification: how to handle this, without harassing small vendors? That’s why we dealt with classification this